Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$93.02 ▼ 2.16%	12M Price Target $105.00	52-Week Range $63.52 – $150.47	Market Cap $83.63B

HOOD: Cooling Off After Rally, Crypto Rules in Focus

WHAT HAPPENED

- HOOD slipped another 2% to $93 even though tech broadly ripped +1.93% — that's a red flag. When a stock bleeds while its sector parties, it usually means something stock-specific is weighing on it (profit-taking after the big run, or whispers ahead of earnings).
- Zoom out: HOOD is down ~9% from last Tuesday's $101.93 peak. This looks like classic "digestion" after a huge 2026 run — the stock is still only at 34% of its 52-week range, which tells you the top ($150) was way up there and bulls are nursing wounds.

WHY IT MATTERS

Here's the thing — options flow is screaming bullish (put/call at 0.57, meaning traders are buying almost 2x as many bets on upside as downside), AND we're seeing unusual call buying at $93-$95 strikes expiring this month. Someone with money thinks this pullback is a dip to buy before a catalyst — likely Q3 earnings in early November. Institutions own 79% of the float with BlackRock and Vanguard anchoring, so this isn't a meme-stock setup anymore — it's a real financial name. The pullback probably means short-term traders are locking gains while the "smart money" positions for either an earnings beat or further clarity on the crypto regulatory front.

POLICY & POLITICAL WATCH

The big one to watch: the CLARITY Act and follow-on crypto market structure legislation moving through Congress — if the final framework hands crypto spot trading jurisdiction to the CFTC (a friendlier regulator) rather than the SEC, HOOD's crypto business gets a massive green light to expand into tokens it currently can't offer. Separately, the SEC under the current administration has been warming up to "tokenized equities" (stocks that trade on blockchain rails 24/7) — HOOD is one of the few platforms positioned to roll this out at scale in the US. Headwind to watch: any renewed push for a "payment for order flow" ban, which is literally how HOOD makes money on stock trades — Washington has backed off this fight but it's never fully dead.

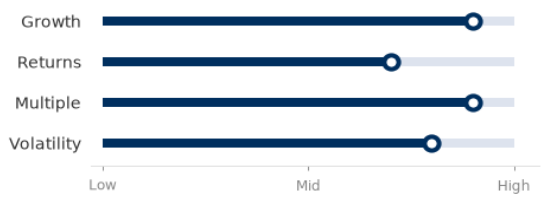
IS IT EXPENSIVE?

At $93, you're paying about 56x next year's earnings — meaning investors are shelling out $56 for every $1 of profit HOOD is expected to make. That's rich — the S&P averages around 20x — but it's defensible if revenue keeps growing 40%+ and crypto stays hot. The catch: a lot of that growth depends on crypto volumes staying elevated, which is cyclical and can evaporate fast if Bitcoin rolls over.

Key Data

Price (USD)	**$93.02**
12M Price Target	**$105.00**
Upside / (Downside)	**+12.9%**
Market Cap	**$83.63B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,100M**
FY2026E EPS	**$1.65**
FY2027E EPS	**$2.10**
Fwd P/E	**56.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$105.00**	$95.00	**$85.00**
6 Months	**$125.00**	$100.00	**$75.00**
1 Year	**$150.00**	$105.00	**$70.00**
2 Years	**$200.00**	$130.00	**$60.00**
5 Years	**$320.00**	$180.00	**$45.00**
10 Years	**$500.00**	$250.00	**$30.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.93%) is leading as rate-cut expectations firm up — lower rates juice growth stocks. Industrials catching a bid on infrastructure spending momentum.

COOLING OFF: Nothing's really falling apart today, but financials and fintech specifically are lagging the tech tape — rotation is favoring mega-cap tech and AI names over transaction-based businesses.

ROTATION WATCH: Money is flowing into "AI winners" and away from recent high-flyers that already had their move — HOOD falls into the second bucket right now. The crowd is taking profits in 2026 winners and redeploying.

RELATED PLAY: If you believe the crypto regulatory thaw thesis, COIN (Coinbase) is the purer play but more volatile. Payment rails like MA/V also benefit from any broad retail investing boom.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct crypto beneficiary of regulatory clarity — moves in lockstep with HOOD's crypto segment but with more leverage.
- SCHW (Charles Schwab): The "boring" retail broker — benefits from the same retail engagement trend without crypto volatility.

HOOD CONTEXT: HOOD is lagging tech badly today despite the sector ripping — that's a short-term warning sign, but it also means if the broader rally continues, HOOD has room to play catch-up into earnings. Underperformance in a strong tape often reverses within 1-2 weeks.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the stock already ran from $64 to $150 this year, so timing matters a lot here.

POSITION SIZE: 2-3% of portfolio — this is a volatile name and you don't want it dictating your mood. Enough to matter if it works, not enough to hurt if earnings disappoint.

ENTRY POINTS: I'd be more aggressive at $80-85, which would represent a healthy ~15% pullback and align with prior support. Chasing at $93 right before earnings is coin-flip territory.

TIME HORIZON: 12-18 months — the catalysts I'm watching are (1) Q3 earnings in early November, (2) final crypto market structure legislation, (3) tokenized equities rollout in 2027.

WHEN TO BAIL: If they miss revenue by >10%, if crypto revenue collapses QoQ, or if Congress revives the payment-for-order-flow ban seriously.

HEDGING: Simplest approach — if you own 100 shares, buy a put option 10-15% below current price as insurance. Costs a little but caps your downside if earnings disappoint.

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